

GLOBAL RATES TRADER

Oil Relief Gets Real

The hawkish US front-end repricing has proven resilient despite the ongoing decline in energy prices. But the reduction in inflation risk has helped to restore nominal duration's role as a risk asset hedge. We think there is more favorable asymmetry to longs anchored slightly out from the very front-end of the US (e.g. 1y1y or 2y1y) curve given the likely front-loading of hike risk in response to hotter data. That said, we think milder job growth and inflation data over the coming months can see end-26 pricing consolidate towards an on-hold baseline. European rates should remain in a relatively tight range as September ECB pricing remains between 0-1 hike. Lower rates vol and growth risks should favour front-end EGB spreads, with the upcoming Solvency II review a tailwind for long-end sovereign credit. We think the hurdle for further Gilt term premium compression is high, but expect UK front-end rates to continue to outperform. The continued underperformance of Japan duration versus global peers reflects unresolved domestic risks that we think will likely maintain pressure on the belly of the curve despite cheap valuations.

United States and Canada

- **On slightly firmer ground.** Oil relief has curtailed inflation upside and left US rates better positioned as a risk asset hedge with inflation and growth risks co-moving rather than at odds with each other. Nearer-term real rates have started to participate in rallies again, front-end skew has rotated back towards receivers, and Fed pricing has moderated from the hawkish extremes ([Exhibit 1](#)). Given the information in hand and a Fed signal that, while mindful of inflation risk, did not as a whole imply a sense of urgency to hike, we think July pricing should decay absent clearly strong data. Further, while the focus coming out of the June FOMC was on price stability, we think it would be wrong to downgrade the significance of labor market data, particularly given the progress lower in oil prices. Acknowledging two-way risks to front-end pricing and the likelihood that near-term hike risk remains somewhat sticky given last week's signal and [reaction function uncertainty](#), we think there's a more favorable near-term asymmetry to being long further out (e.g. 1y1y or 2y1y) as firmer data likely front-load hike risks alongside stickier forwards. Under our economists' [baseline for near-term data](#), we think the probability mass for Z6 should build around an on-hold outcome, with our bias still to anchor longs further out on the forward curve or around the 5y point of the spot curve.

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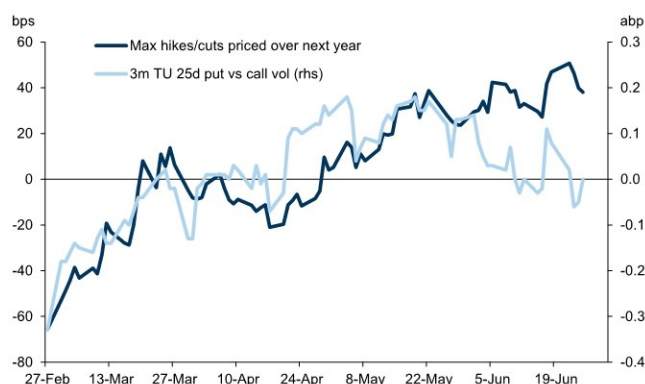
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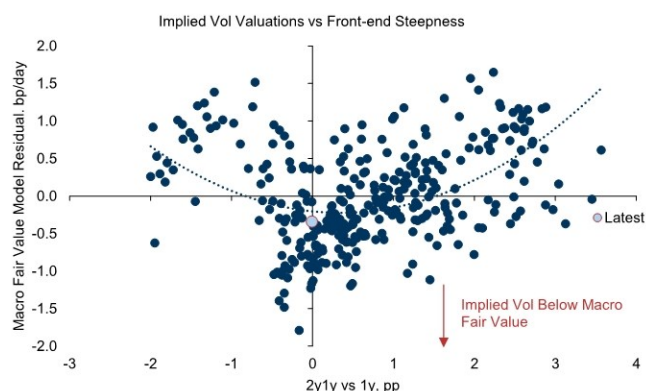
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Exhibit 1: Front-end skew has rotated back towards receivers as Fed pricing has moderated from the hawkish extremes



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

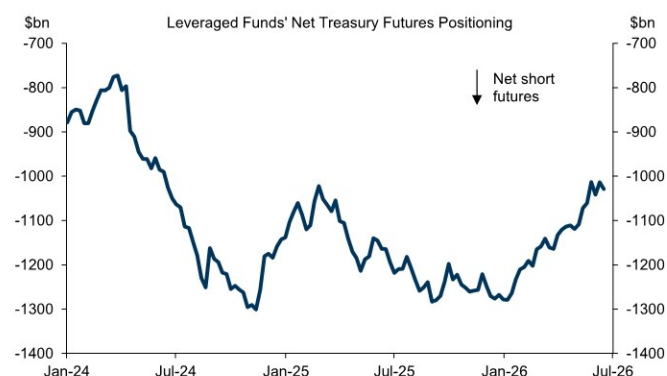
Exhibit 2: Current front-end steepness tends to see vol undershoot what is implied by macro fundamentals
2y1y/1y steepness vs residual vs macro fair value model



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

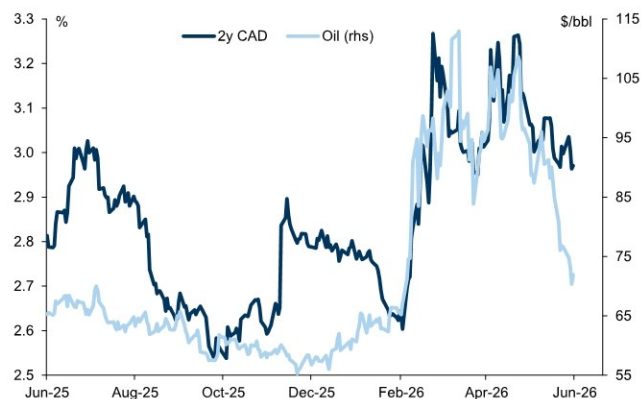
- **Higher vol floor, flatter curve.** While off the highs and towards the lower end of our fair value range, implied vol has settled at a higher level than before the conflict, with risk premium emerging at shorter tails. However, current levels of front-end steepness can see implied vol underperform macro fundamentals to an even greater degree ([Exhibit 2](#)), suggesting some scope for vol to moderate further. We think this setup can support returns to vol selling, especially if moderating hiring and inflation data lead the hawkish policy momentum to decay gradually (as has been the case in recent past). Overall, the reduction in supply-side risks and macro uncertainty should eventually reduce macro volatility and reduce the vol premium further. That said, we see some differentiation along the surface. We continue to think that the ongoing shift from macro to policy uncertainty should sustain a flatter tail curve, as uncertainty shifts to Fed's reaction function. At this point valuations along the surface suggest this is already somewhat reflected, with vol on 1y tails rich to both the macro and in the context of our vol surface PCA, while through the same lens implied vol on belly tenors are low in comparison to the wings.
- **Easier funding conditions point to supportive supply/demand dynamics.** Treasury funding conditions remain broadly accommodative, driven by a favorable balance between cash lending, primarily from money funds, paired with more subdued demand for funding from levered investors. On the supply side, money fund AUM has continued to grow, supported by a flatter Treasury curve and softer risk asset performance in June. Money funds' weighted-average maturity has shortened as well, with tightening in 1m Bills-OIS reflecting greater money fund demand for shorter-term assets. Meanwhile, appetite for funding has declined amid compressed Treasury futures basis opportunities, which has shown up in dwindling levered fund shorts ([Exhibit 3](#)). The benign backdrop for funding suggests the market has a comfortable buffer to absorb a shift back to more elevated cash demand without incurring meaningful upward pressure on funding costs. Quarter-end dynamics are a likely near-term source of temporary upward pressure on repo rates. While the medium-term prospects for balance sheet policy are a spot of uncertainty, we think the easier backdrop will lead to a slower pace of RMPs over the coming months.

Exhibit 3: Appetite for funding has declined amid compressed Treasury futures bases, evidenced by dwindling levered fund shorts



Source: CFTC, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 4: With limited pass-through from higher oil prices, CAD rates have more room to fall



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

- **Wider spreads have staying power.** We think swap spreads can continue to trade wide to the broader UST supply backdrop in the near term, supported by a decline in macro (if not reaction function) uncertainty and constructive demand picture. While bank buying has been somewhat uneven recently, we expect demand dynamics to remain generally supportive; meanwhile, the foreign official sector has scaled back its net selling of USTs with the stabilization in the Dollar. Alongside those benign spot considerations, uncertainty over the Fed's balance sheet policy is a potential medium-term risk. If the Fed begins to have a more serious debate about alternatives to ample reserves framework, we expect it would correspond to increased risk premium in belly and long-end swap spreads compared to the front-end (in part reflecting the likelihood that any concrete shift would take time and therefore more relevant over time). We still think shorter-term swap spreads offer value from a carry perspective, with valuations about fair. We have preferred to express this in 3y swap spreads, which we think should be more insulated from balance sheet risk while offering appealing carry-to-vol versus the rest of the curve.
- **Still room for CAD front end compression.** The decline in oil prices has compressed hike premium for the BoC for this year to about 12bp alongside a generalized reset across the forward curve. Given still limited spillover risks from energy prices to other inflation categories, and underlying softness in activity, we think that the remaining hike premium through year-end should decay. Lower energy prices can allow focus to turn towards potential dovish risks to the outlook (Exhibit 4). The apparent likelihood that the July 1 USMCA deadline will pass without agreement should keep trade uncertainty elevated and lead to ongoing headline risks around the annual reviews. We see some potential for that to reintroduce weight on the risk of further easing (even if our economists expect BoC to remain on hold), given BoC's characterization of trade risks, and we can also see front-end yields decline towards pre-conflict levels.

Europe

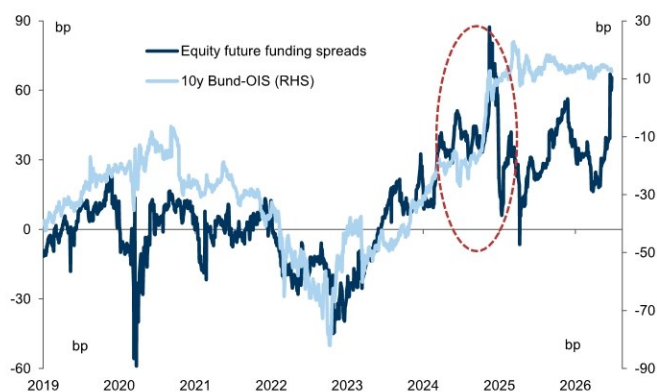
- **European rates settle in as tails decline further.** Energy price relief has extended

further this week as shipping flows through the Strait of Hormuz increase. We continue to expect this to reduce European rates volatility rather than yield levels, extending the decoupling that followed the April ceasefire. Because the ECB path and European rates volatility are more narrowly driven by energy uncertainty compared with a broader range of macro factors in the US, we also expect European rates vol to underperform the US. ECB commentary emphasises the fragility of the peace agreement and points to ongoing concern around inflation persistence, and our economists continue to forecast another hike in September. We don't expect a meaningful rally from here, with the market now trading below our 3% end-2026 Bund yield forecast, but, given the hawkish bias of the ECB, we think 5y rates are likely to outperform on the curve, especially should hikes coincide with further inflationary relief.

- **Solvency II review a tailwind to sovereign credit.** The upcoming implementation of the Solvency II review – by 31 January 2027 – aims to steer insurance companies' portfolios towards the real economy, which implies a rising marginal allocation to equities over time. But we think other elements of the review will be a net positive for sovereign credit. In particular, a revised methodology for risk-free rates will make long-dated discount rates more sensitive to shifts in market rates and is likely to increase interest rate hedging past the 20y point of the curve. Revisions to the Volatility Adjustment (VA) mechanism and more favourable correlation parameters between interest rates and credit spreads should also support insurers' ability to bear credit risk. We expect this to support insurer demand for long-dated government bonds, adding to the already-favourable backdrop for sovereign credit as rates vol and growth risks decline.
- **Watching funding spillovers to Europe.** The market focus on equity supply through IPOs, primarily in the US but also to a lesser extent in Europe, has seen equity funding spreads increase. This period is analogous to the second half of 2024, where building long positions in equities had generated pressures on funding markets. Back then, we saw evidence that Bund spread cheapening had run ahead of fundamentals, opening a residual of about 15bp against our fair value estimate over a period of 6 months, suggesting the increase in funding costs from equity markets had spilled over to fixed income markets (Exhibit 5). The macro and market context is different now, with ECB QT no longer accelerating, and spreads generally cheaper and global curves steeper. But we think this is a risk worth watching in coming months as QT continues to drain excess liquidity in the Euro area. We expect the liquidity backdrop to remain abundant into 2027, consistent with the still-low levels of bank borrowing at the ECB's facilities (~EUR15bn under the MRO). But funding pressures are one potential risk to the generally favourable backdrop for carry described above.

Exhibit 5: In the past, sharp moves in equity funding have spilled over to Bund spreads

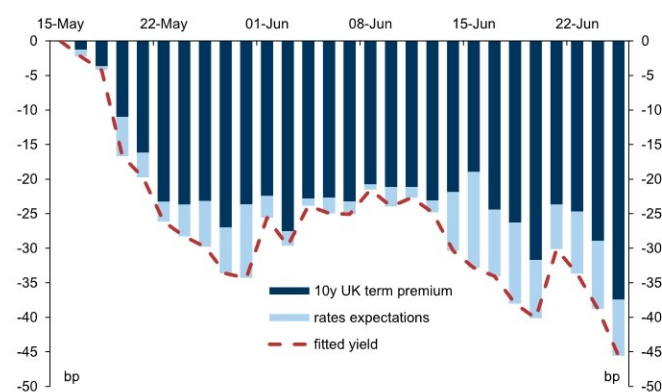
Euro STOXX funding spread to OIS of 2nd nearest future



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 6: The rally in 10y Gilts has been mostly driven by term premium compression

Change in 10y UK term premium and rates expectations (yield curve-only model)



Source: Goldman Sachs Global Investment Research

- **Gilt relief likely to slow, prefer GBP steepeners.** The ongoing decline in oil prices following the US-Iran deal remains a tailwind for UK rates, reducing headline inflation risk at the same time as underlying price pressures are looking more benign. We expect markets to become increasingly confident about a BoE holding through 2026, and the erosion of the remaining hike premium in the UK front-end may now slow given how far the market has rallied. At the same time, most of the decline in 10y Gilt yields in recent months has been due to term premium compression ([Exhibit 6](#)). With Andy Burnham likely to be the [next UK Prime Minister](#), we think the market will retain some premium in coming months as focus turns to the Autumn budget. In the recent rally, front-end nominals have rallied mostly through lower inflation, while the 5y5y move has been largely real-rate-led, with forward inflation only modestly lower. In contrast to the Euro area and the US, where risk-reward is likely better in the belly of the curve, we instead lean towards steepening in the UK, with outperformance of the 1y1y part of the curve as front-end real rates eventually normalise lower.

Australia and New Zealand

- **Balanced risks around RBA pricing.** Market pricing for the RBA has moderated to pricing less than 50% of a hike through the year-end peak in the curve. While [our economists think](#) underlying labor market conditions are softening at an orderly and gradual pace, the [latest labor force report](#) left the unemployment rate below both the level where the Governor described the labor market as “a bit tight” as well as the RBA’s [estimate for NAIRU](#). Our economists continue to lean towards the RBA delivering [one additional hike this year](#), but falling oil prices likely make that outcome contingent on a sufficiently firm inflation print outside oil-affected categories. That leaves the risks around near-term meetings more balanced in our view, with risk-reward still better to setting longs further out the curve. Whether or not the RBA delivers an additional hike, we see scope for the market to price greater risk of cuts on a 1-to-2y forward horizon as evidence of weaker growth and softer inflation

accumulate. We recommend to receive 2y1y OIS vs pay August RBA (Entry: -18bp, Target: -35bp, Stop: -10bp).

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Forecasts

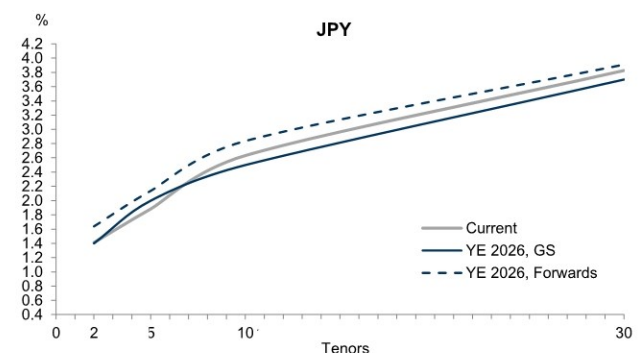
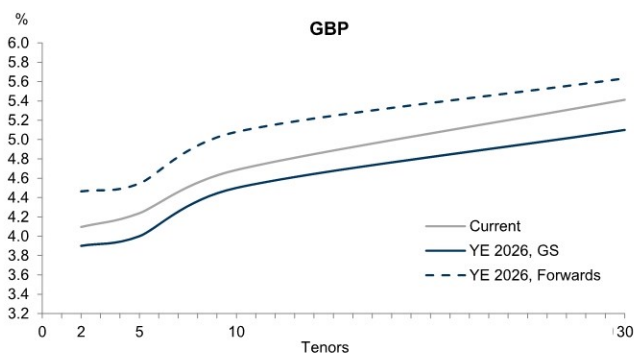
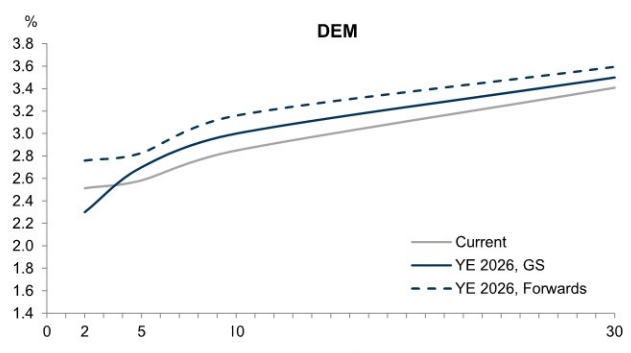
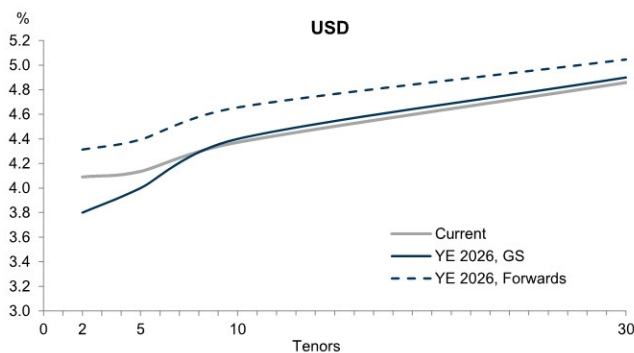
G10 10y yield forecast

G10 10-Year Yield Forecasts													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
Spot	4.37	2.85	3.63	3.58	3.34	4.69	2.63	3.36	0.27	2.65	4.22	4.73	4.34
2Q26	4.50	2.90	3.55	3.60	3.30	4.75	2.50	3.45	0.30	3.15	4.10	4.85	4.50
3Q26	4.45	2.95	3.60	3.65	3.35	4.60	2.50	3.50	0.40	3.20	4.00	4.75	4.50
4Q26	4.40	3.00	3.70	3.75	3.45	4.50	2.50	3.50	0.50	3.25	4.00	4.70	4.50
1Q27	4.35	3.00	3.75	3.80	3.50	4.50	2.45	3.50	0.50	3.25	4.00	4.60	4.50
2Q27	4.30	3.00	3.75	3.85	3.55	4.40	2.40	3.50	0.50	3.25	4.00	4.50	4.50
3Q27	4.25	3.00	3.75	3.90	3.60	4.40	2.30	3.50	0.50	3.25	4.00	4.50	4.50
4Q27	4.25	3.00	3.75	3.90	3.60	4.35	2.25	3.50	0.50	3.25	4.00	4.50	4.50

Deviation from Forwards													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
2Q26	0.12	0.05	-0.08	0.01	-0.04	0.05	-0.12	0.06	0.06	0.52	-0.11	0.13	0.14
3Q26	0.01	0.02	-0.05	-0.05	-0.01	-0.22	-0.21	0.07	0.10	0.55	-0.19	0.00	0.07
4Q26	-0.07	0.04	0.00	-0.02	0.04	-0.37	-0.28	0.02	0.18	0.57	-0.18	-0.08	0.00
1Q27	-0.16	0.01	-0.01	-0.02	0.04	-0.41	-0.40	-0.01	0.17	0.54	-0.16	-0.20	-0.07

Source: Goldman Sachs Global Investment Research

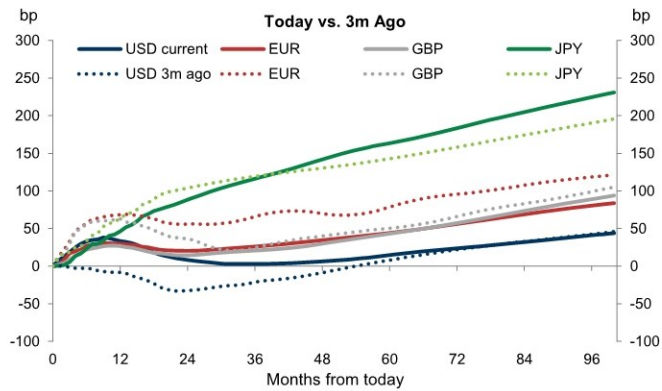
G4 Curve Forecast



Source: Bloomberg, Goldman Sachs Global Investment Research

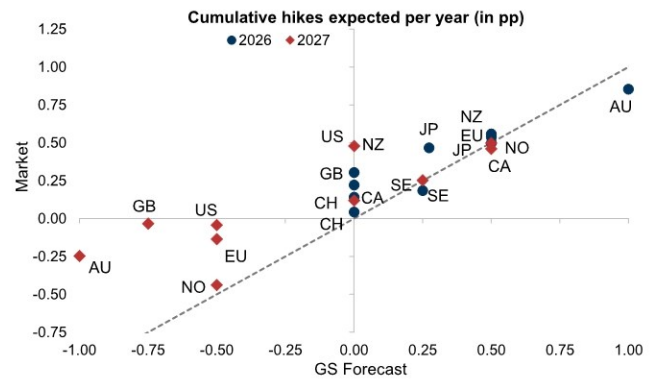
Central Bank Dashboard

Cumulative amount of hikes/cuts priced from today



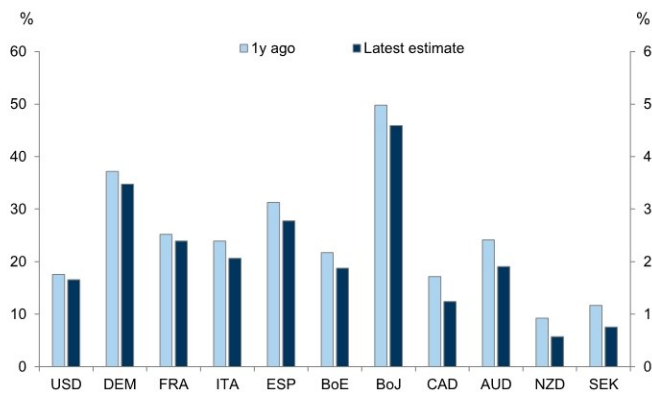
Source: Goldman Sachs Global Investment Research

Expected hikes by year, GS vs. Market



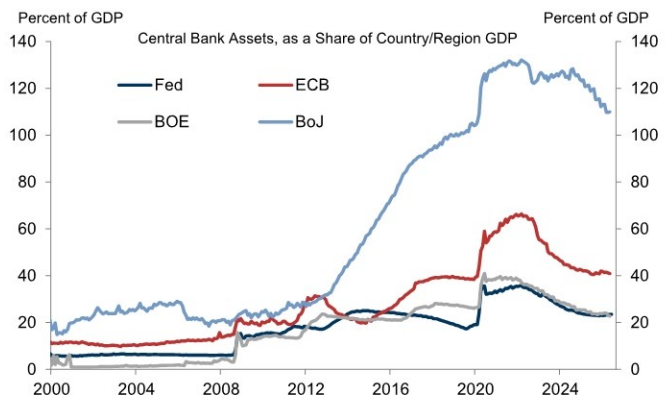
Source: Goldman Sachs Global Investment Research

Central bank ownership of sovereign bonds, current vs. 1y ago



Source: Haver Analytics

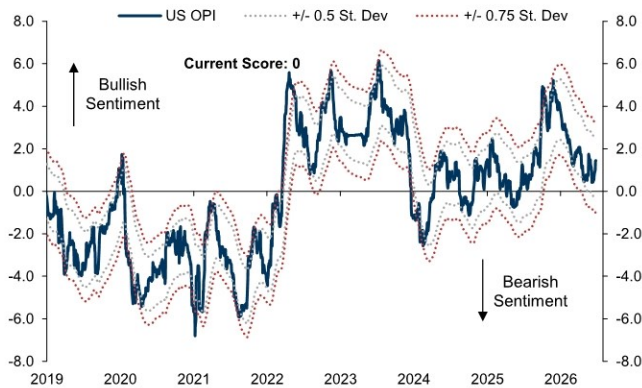
Central bank assets as a share of GDP



Source: Haver Analytics

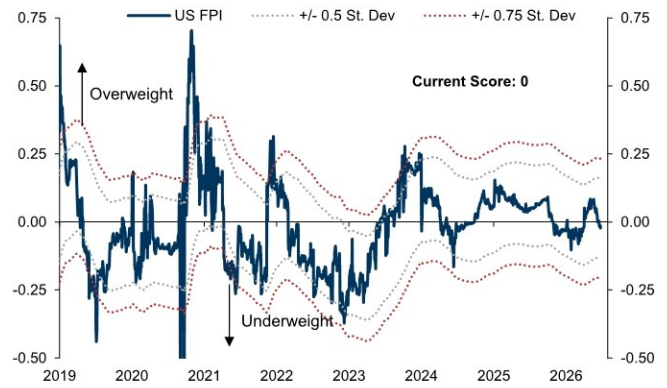
Positioning and Flows Monitor

Option implied position indicator



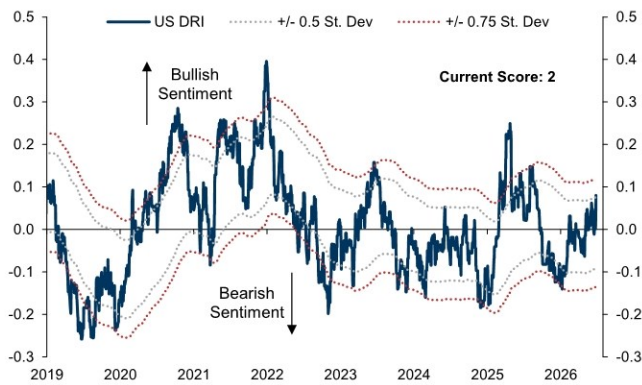
Source: Goldman Sachs Global Investment Research

GS Fund Positioning Indicator



Source: Goldman Sachs Global Investment Research

US Data Response Indicator (DRI)



Source: Goldman Sachs Global Investment Research

CFTC Commitment of Traders and Traders in Financial Futures

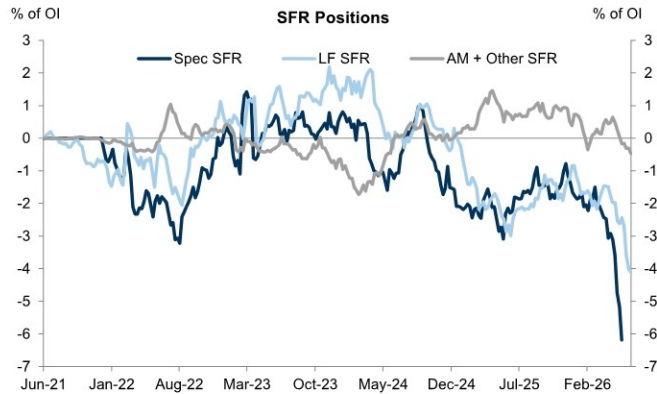
Duration-weighted net position by investor type

Duration-Weighted Positioning, by Contract

\$mm/bp	SFR	TU	FV	TY	TN	US	WN
Spec Current	-84.5	-44.0	-55.4	-56.0	-10.0	-19.0	-57.0
Spec 1w Change	-10.4	-2.2	-1.5	-3.5	0.2	1.9	-1.5
LF Current	-64.8	-58.9	-90.9	-126.3	-20.2	-39.9	-166.5
LF 1w Change	0.8	-1.2	-0.1	-6.4	2.0	-1.9	-3.7
AM + Other Current	-10.4	69.2	117.7	154.4	55.6	72.5	208.3
AM + Other 1w Change	-3.7	-0.6	-2.2	6.7	3.1	10.3	7.9
Dealer Current	75.2	-12.7	-29.2	-29.1	-24.5	-46.8	-43.0
Dealer 1w Change	2.9	1.5	0.2	-1.2	-3.8	-9.2	-5.8

Source: CFTC, Goldman Sachs Global Investment Research

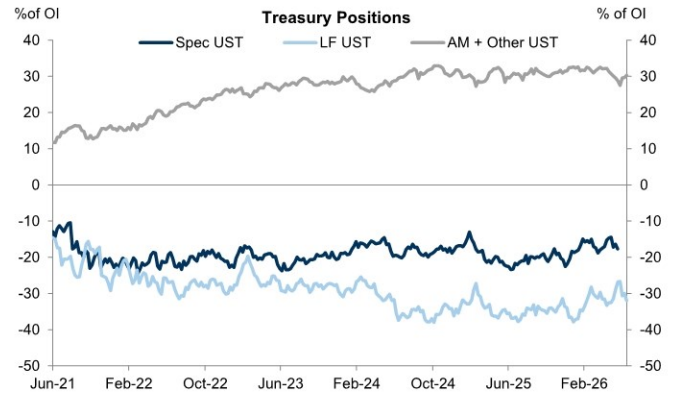
Net positions in Eurodollars



Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Net positions in UST futures

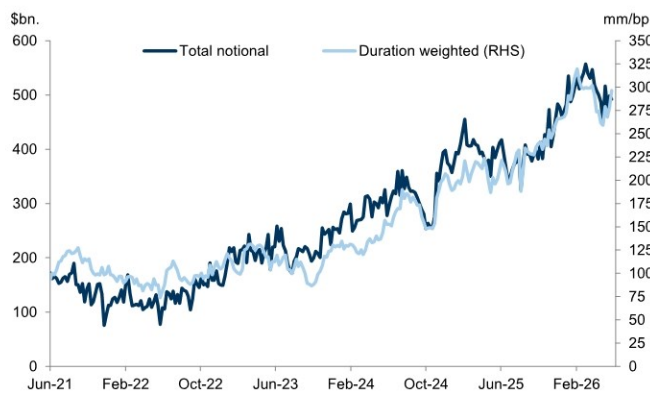


Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Primary dealer transactions

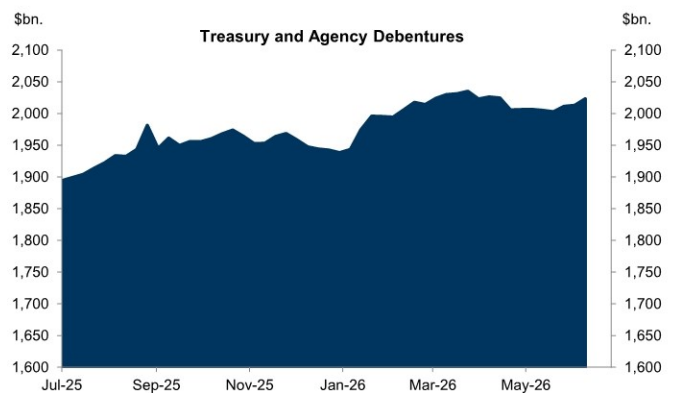
Net dealer position in US Treasuries



Source: Federal Reserve Bank of New York, Goldman Sachs Global Investment Research

US Commercial Banks' Holdings of Treasury and Agency Securities

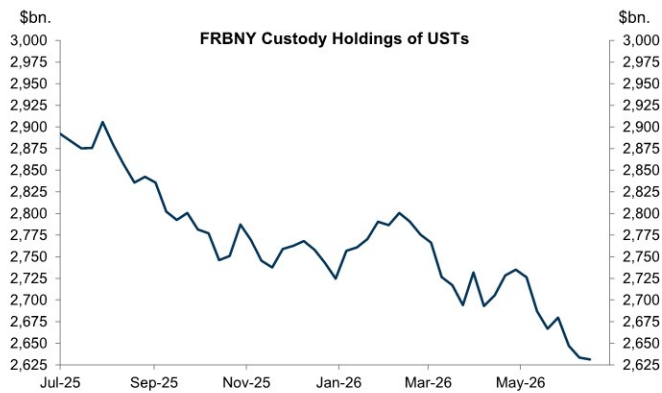
Total domestic and foreign holdings, all commercial banks



Source: Federal Reserve Board

NY Fed Custody Holdings

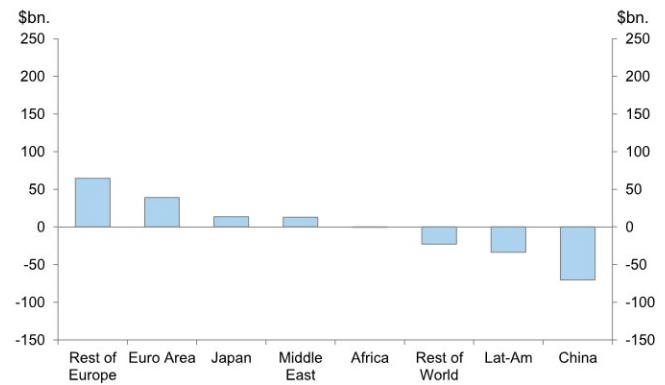
Marketable US Treasuries



Source: Federal Reserve Bank of New York

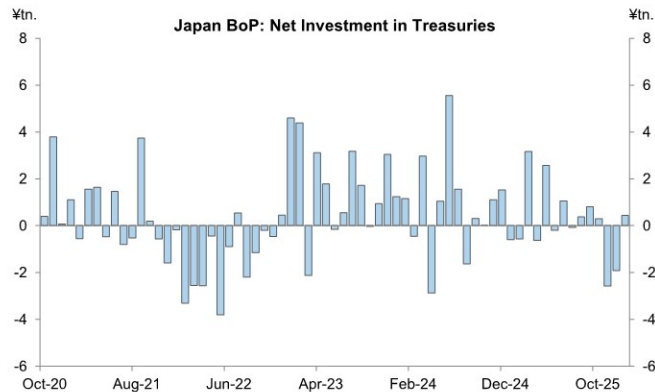
US TIC Treasury Flows

12m change in valuation-adjusted holdings of USTs, by holder of debt



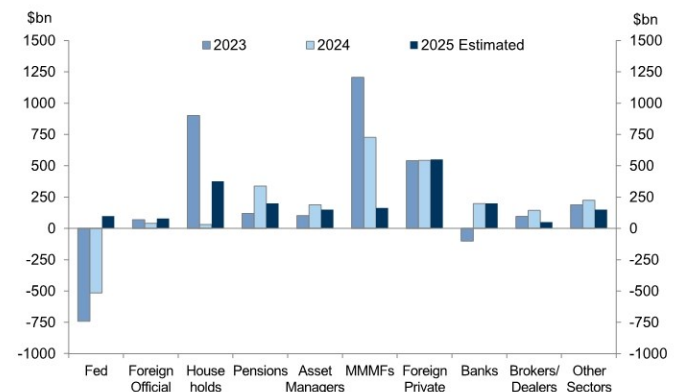
Source: US Treasury, Goldman Sachs Global Investment Research

Net monthly purchases of short- and long-term US Treasuries by Japanese investors



Source: Bank of Japan, Haver Analytics

Flow of Funds annual net purchases of US Treasuries, by sector

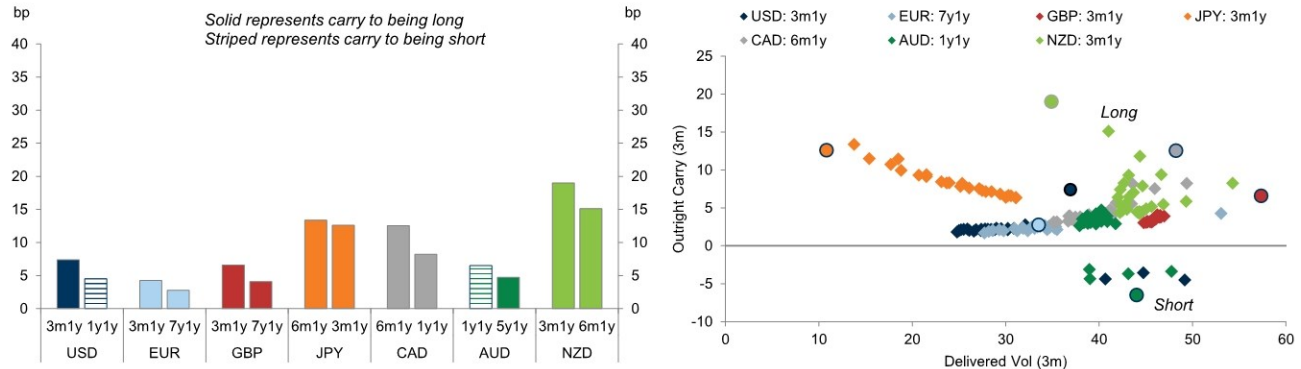


Source: Federal Reserve Board, Goldman Sachs Global Investment Research

Carry/Rolldown Monitor

Outright Carry

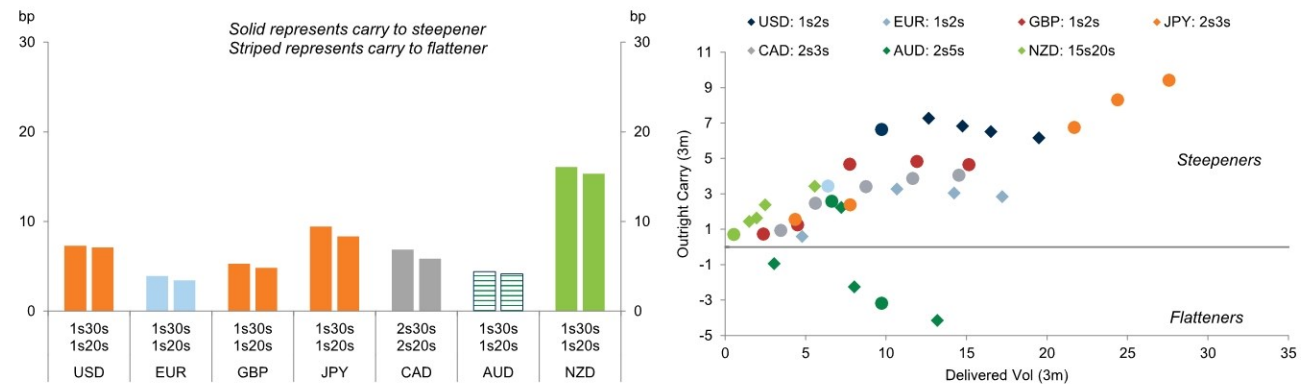
Bar chart shows top two carry points by currency, with solid reflecting carry to a long position and striped carry to a short position. Scatter illustrates top 25 carry/vol points by currency, with top point by currency noted



Source: Goldman Sachs Global Investment Research

Curve Carry

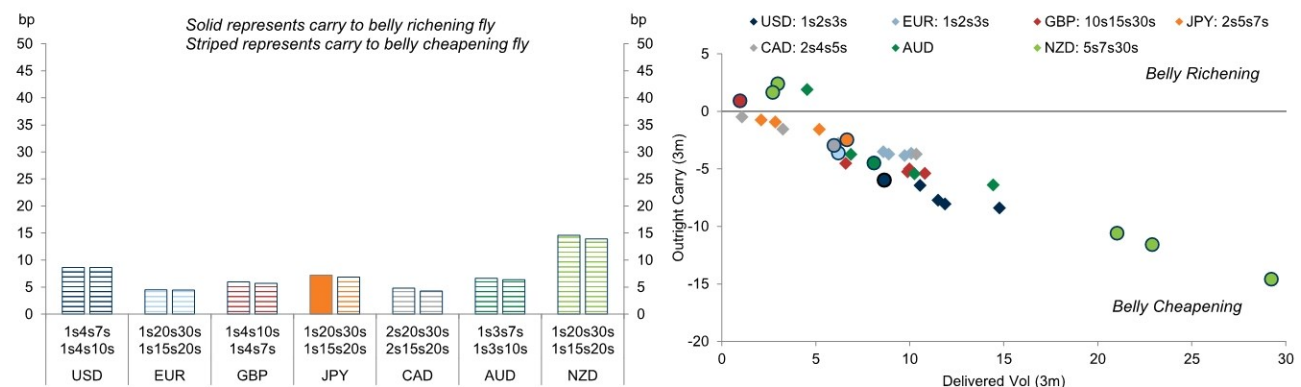
Bar chart shows top two carry curves by currency, with solid reflecting carry to a steepening position and striped carry to a flattening position. Scatter illustrates top 5 carry/vol curves by currency, with top curve by currency noted



Source: Goldman Sachs Global Investment Research

Fly Carry

Bar chart shows top two carry flies by currency, with solid reflecting carry to a belly-richening fly and striped carry to a belly-cheapening fly. Scatter illustrates top 5 carry/vol flies by currency, with top fly by currency noted.



Source: Goldman Sachs Global Investment Research

Treasury Supply Monitor

Gross Treasury auction size estimates by year end, with GS projections

Monthly Auction Amounts at End of Calendar Year (\$ billions)											
	2y FRNs	2y	3y	5y	7y	10y	20y	30y	5y TIPS	10y TIPS	30y TIPS
YE-25 (CY)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-26 (CY, GS)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-27 (CY, GS)	33 / 30 (r)	83	72	84	58	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	28 / 26 (r)	21 / 19 (r)	9 / 8 (r)

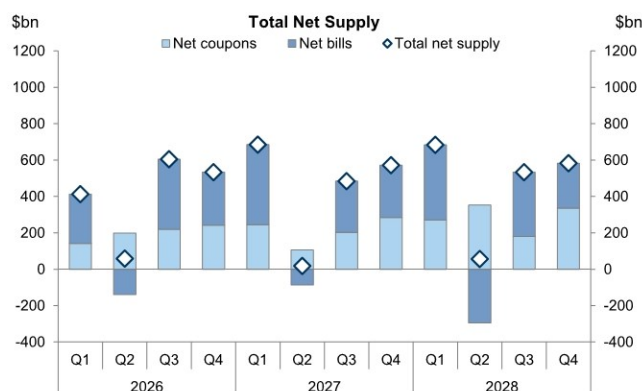
* Original Issue / Reopening listed for FRNs, 10s, 20s, 30s, and TIPS.

US Treasury Net Issuance by Calendar Year (\$ billions)						
	Net Coupons	Fed	Net of Fed	Net Bills	Fed	Net of Fed
CY 2024	1346	-475	1821	511	-23	534
CY 2025	1566	-115	1681	360	38	322
CY 2026, GS	1225	-1	1226	811	422	389
CY 2027, GS	1286	0	1286	927	449	478

Duration supply (\$bn 10y equiv)		
Gross supply	Fed	Net of Fed
2765	0	2765
2797	0	2797
2796	0	2796
2929	0	2929

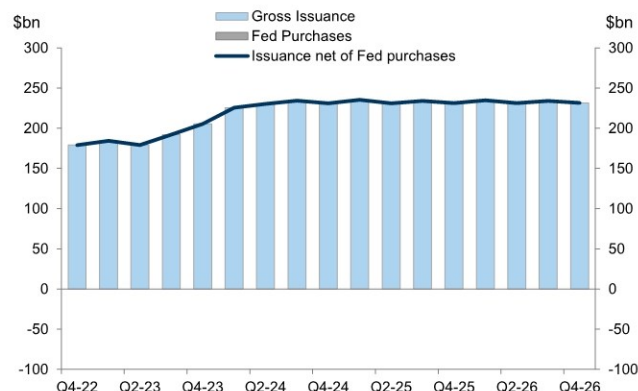
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Net issuance per quarter



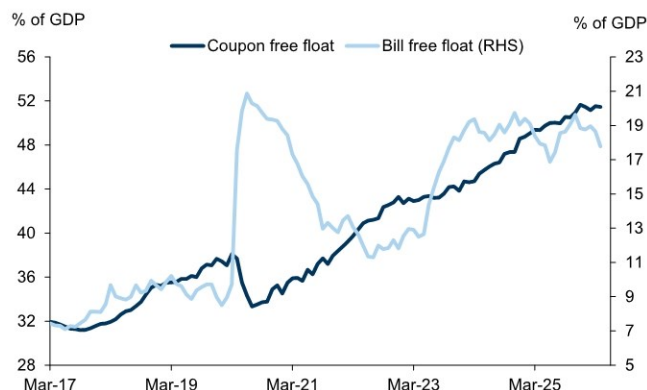
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Average monthly UST issuance, gross and net of Fed purchases; \$bn 10y equivalents



Source: Goldman Sachs Global Investment Research, US Department of the Treasury

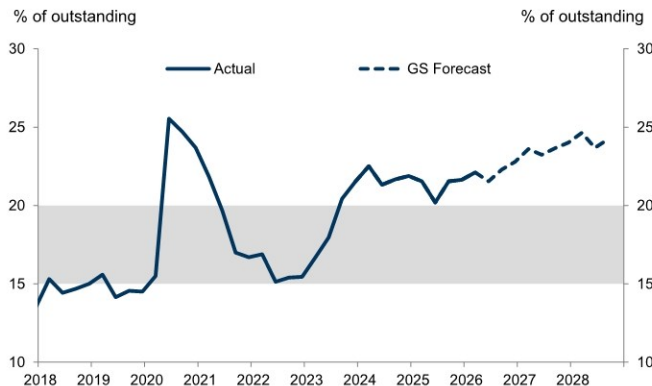
Free float (Treasury's outstanding less Fed and foreign official holdings) as % of GDP



Source: Haver Analytics, US Treasury, Goldman Sachs Global Investment Research

Bills as a share of Treasuries outstanding and GS forecast

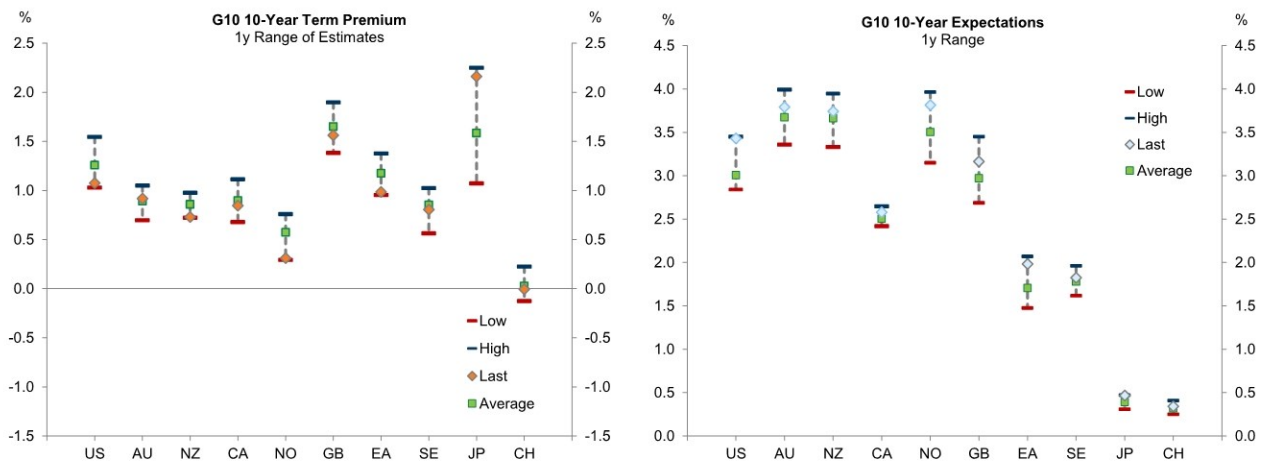
Gray shading denotes TBAC recommended 15-20% range



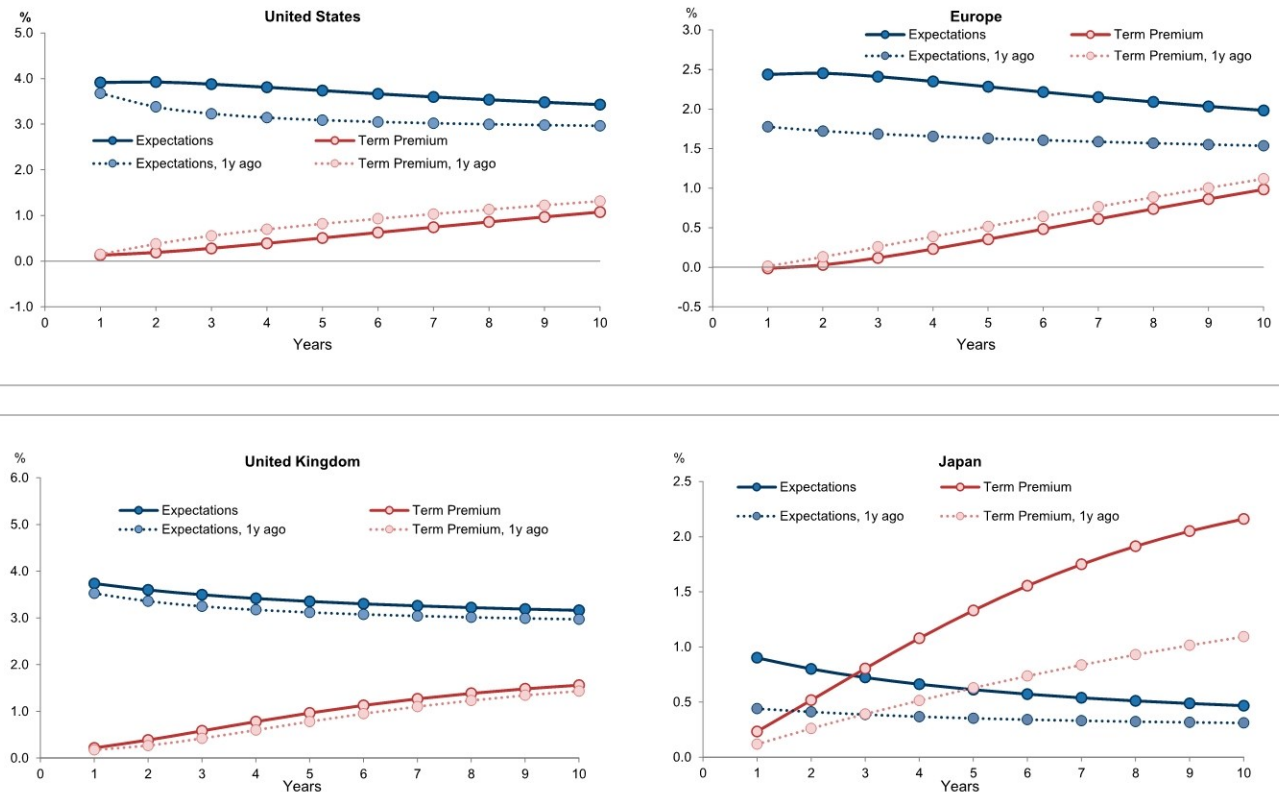
Source: US Treasury, Goldman Sachs Global Investment Research

GS Term Premium Decomposition

1y Range of G10 10y Yields, by Term Premium and Expectations Components



Term Structure of Fitted Yields, by Component



Source: Goldman Sachs Global Investment Research

2026 Trade Recommendations

GS Rates Trades						
Active	Entry Date	Opened	Latest	Stop	Target	Performance
1. Long 3y France, Spain, Italy vs OIS (equally weighted)	10-Apr-26	0.33	0.30	0.32	0.23	+3 bps
2. Long 3y SOFR swap spread	17-Apr-26	-0.226	-0.207	-0.230	-0.180	+2 bps
3. 2s5s CAD steepeners	24-Apr-26	0.20	0.23	0.20	0.35	+3 bps
4. Long 5y Receivers on 3m 2s5s10s Receiver Fly (bp running)	08-May-26	0.01	-0.02	-0.05	0.10	-3 bps
5. 1y forward 2s10s GBP OIS steepeners	29-May-26	0.38	0.39	0.25	0.55	+1 bps
6. Long 2y1y OIS vs pay August RBA	26-Jun-26	-0.18		-0.10	-0.35	
Closed	Entry Date	Closed	Performance			
1. SFRZ6/Z7 steepeners	21-Nov-25	14-Jan-26	+6bps			
2. Long 10y Gilts on ASW	21-Nov-25	30-Jan-26	+12 bps			
3. Long USD 3m2y A-25 receiver vs short 3m10y A-25 receiver (return in bp running)	07-Nov-25	09-Feb-26	-2 bps			
4. 2s5s CORRA steepener	16-Jan-26	13-Feb-26	+0 bps			
5. Receive AUD 5y5y IRS vs pay NZD 5y5y	28-Nov-25	18-Feb-26	+0 bps			
6. Long 20s on 10s20s30s weighted SOFR fly (weights 0.6x : 2x : 1.4x)	01-Aug-25	02-Mar-26	+6 bps			
7. Long SFIU6	30-Jan-26	03-Mar-26	+7 bps			
8. Long 10y Gilts vs Bunds	07-Nov-25	09-Mar-26	+4 bps			
9. 3m10y A+5/A+20/A+27.5 payer ladders (bp running)	20-Feb-26	23-Mar-26	-5 bps			
10. Long 10y NOK vs SEK	13-Feb-26	25-Mar-26	+20 bps			
11. Long EU 30y on the fly against 30y Austria and Spain	27-Feb-26	10-Apr-26	-5 bps			
12. Long USD 3m 2s10s A+10/A+25 curve cap spread (bp of notional)	23-Jan-26	15-Apr-26	-2 bps			
13. USD 3m3y A-5/A-40 receiver spreads	13-Mar-26	30-Apr-26	-7 bps			
14. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	27-Mar-26	07-May-26	+15 bps			
15. Pay 10s on 5s10s30s SOFR fly	09-Jan-26	08-May-26	-1 bps			
16. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	12-Jun-26	18-Jun-26	-1 bps			
17. Long 5y5y EUR OIS - HICP	01-May-26	19-Jun-26	+11 bps			

Note: Potential profit/loss estimates are given as per unit of duration risk, through yesterday's close.

Source: Goldman Sachs Global Investment Research

Global Interest Rates Strategy

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Reg AC

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